RENT VS BUY

How the decision to rent a house or buy one pans out in the long term

ASSUMPTIONS

- Cost of the property **Rs 1 crore**
- Current monthly rental **Rs 20,000**
- Down payment for the house **Rs 20 lakh** (20% of the value or lower)
- Interest rate on home loan: **8.5%**
- Home loan tenure **20 years**
- EMI of the loan **Rs 70,000**
- House value increase each year: **7%**
- Increase in rent each year: **10%**
- Investment returns at **10%**

IMPACT 20 YEARS LATER

- When you invest the surplus of rent and EMI (Rs 50,000) each month into an investment that earns 10% interest, the corpus will become **Rs 3.8 crore**
- Based on 7% growth in value of house, it'll be worth **Rs 3.86 crore**

So, effectively you don't necessarily gain by buying a house today in this example versus renting. If you are wondering the increase in rental cost is not taken into considering above, it would be balanced considering the maintenance cost of a flat (monthly maintenance to the society, municipal taxes, registration cost etc). In fact, if one factors the down payment also invested; the value of investment would be much higher, but that is not the point. Your decision to buy a house as mentioned is based on many other factors and situation specific to you.

is entitled to an official quarters accommodation, which works better for her as it reduces her commute time," says Soota. His decision to purchase a house was right when he bought it, but today, when the flat is on rent, it pays a paltry 1-1.5 per cent yield, which financially isn't appealing.

An affordable EMI should not direct your decision to buy over renting. The same goes for parental/ peer pressures. Your situation may require an investment for some years before you can make the decision to buy. Use the opportunity to invest. If buying a house works better for you, make sure to repay the loan before its tenure, lest you land up paying a huge interest outgo.

3 SAVING OR INVESTING

Saving and investing are often treated as interchangeable as an alternative to spending money, but they are totally different. The biggest difference is the level of risk taken. Saving typically results in you earning a lower return but with almost no apparent risk. In contrast, investing allows you the opportunity to earn higher returns, but you take on the risk of loss in order to do so. Savings connotes money in the bank account or a fixed deposit, whereas investing means money in stocks, mutual funds, ETFs (exchange trade funds), etc.

The decision to save or invest stems from the need to grow your money over time. Generally, for a short-term goal, savings works because they are easily accessible and unlikely to fluctuate in value. Investing is more likely to work when you have time to grow your money over years and decades, though there may be periods when the value of money fluctuates. Eventually, however, the gain is significant.

Saving is the first step towards investing and one should inculcate the habit of savings before jumping into investing. The biggest disadvantage of savings is the low returns it offers, which means you lose purchasing power over time as inflation eats away the money. But for those who are risk-averse, savings is a safe bet. While the potential to earn more exists with investing, there is no guarantee, which means you could lose your capital in an extreme case.

Investing appears to be complex compared to savings and that alone makes decision-making between the two a tough choice. You will need to research investing options before committing to it and it will be a good idea to use the help of experts or learn about investing before setting out on your own.

4 DIY OR ENGAGE AN ADVISOR

It is a well-known fact that managing one's finances is not a subject that is taught in school or college and one has to explore and learn for oneself . Yes, there are people who have an innate ability to manage

FINANCIAL GOALS

SAVINGS

- Saving for a down payment six months later
- Money for emergencies
- Routine household expenses

INVESTING

- Retirement, which is a few decades in the future
- Generate added income in the future
- Children's education